SL. No.1

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

Hearing Through: VC and Physical (Hybrid) Mode

CORAM: SHRI. RAJEEV BHARDWAJ, HON'BLE MEMBER (J)
CORAM: SHRI. SANJAY PURI, - HON'BLE MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 13.11.2024 AT 10:30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	**CP (CAA) No.11/230/2024**
NAME OF THE COMPANY	**Eldorado Avenues Pvt Ltd (Transferor Co.) and Arunoday Life Spaces Pvt Ltd (Transferee Co.)**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**Sec 230**

ORDER

Orders pronounced, recorded vide separate sheets. In the result, the Company Petition is allowed.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Vamsi

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH -II, HYDERABAD

CP (CAA) No.11/230/HDB/2024 in
CA (CAA) No.02/230/HDB/2024

IN THE MATTER OF SECTION 230 TO 232 OF THE COMPANIES ACT, 2013
SCHEME OF AMALGAMATION
OF
M/S. ELDORADO AVENUES PRIVATE LIMITED
(TRANSFEROR COMPANY)
AND
M/S. ARUNODAY LIFE SPACES PRIVATE LIMITED
(TRANSFEREE COMPANY)
AND
THEIR RESPECTIVE SHAREHOLDERS & CREDITORS

M/s.Eldorado Avenues Private Limited,
Represented by Director Mr. Bhim Shankaram Kanda,
having its registered Office at 8-2-293/82J/28A,
2nd Floor, Journalist Colony,
Road No.70, Jubilee Hills,
Hyderabad – 500 033,
Telangana, India.

…. Petitioner/Transferor Company

M/s. Arunoday Life Spaces Private Limited,
Represented by Managing Director
Mr. Tumbalam Gooty Veera Prasad,
having its registered Office at 8-2-293/82J/28A,
2nd Floor, Journalist Colony,
Road No.70, Jubilee Hills,
Hyderabad – 500 033,
Telangana, India.

…. Petitioner/Transferee Company

And
THEIR RESPECTIVE SHAREHOLDERS & CREDITORS

CP (CAA) No.11/230/HDB/2024 in
CA (CAA) No.02/230/HDB/2024

Date of Order: 13/11/2024

Date of Order: 13.11.2024

Coram:
Sri Rajeev Bhardwaj, Hon'ble Member (Judicial)
Sri Sanjay Puri, Hon'ble Member (Technical)

Counsel present:
For the Applicants : Mr. Y. Suryanarayana, Mr. Sachin Sharma, Mr. R. Ramkrishna, Advocates.
For the Respondent : Mr. Satish Kumar, Asst Director, O/o. RD Office

[P E R: B E N C H]

O R D E R

(1) This Joint Petition is filed under Section 230 to 230 of the Companies Act, 2013 (hereinafter referred to as "the Act, 2013"), read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016, by M/s. Eldorado Avenues Private Limited (hereinafter referred to as Transferor Company) with M/s. Arunoday Life Spaces Private Limited (hereinafter referred to as Transferee Company) and their respective shareholders and creditors with effect from the Appointed Date. The Transferor Company and the Transferee Company are hereinafter collectively referred to as the 'Petitioner Companies" and severally as "Petitioner Company".

(2) This Joint Petition is filed by the Petitioner Companies under Section 230 read with 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 by inter-alia seeking approval for Scheme of Amalgamation between the Petitioner Companies and their respective shareholders, creditors so as to be binding on all the members, shareholders, creditors and employees of all the Petitioner Companies and all concerned.

(3) DESCRIPTION OF THE COMPANIES:

(1) M/s. Eldorado Avenues Private Limited was incorporated as a Private Limited Company under the provisions of Companies Act,

2013 on 31st July, 1996 vide Corporate Identification Number (CIN) U27106TG1996PTC024798 in the State of Telangana and the PAN of the Company is AABCD4357R (Hereinafter referred to as the "Transferor Company/EAPL").

The Registered office of the Transferor Company is situated at 8-2-293/82J/28A, 2nd Floor, Journalist Colony, Road No.70, Jubilee Hills, Hyderabad – 500 033, Telangana, India.

The main objects of the Transferor Company are as follows:

a. To carry on the business of purchase, acquire, lease or in exchange or in any other lawful manner any land, buildings, structures or properties of any kind for the purpose of investment or resale and to develop the same into projects, town ships, markets or other buildings, residential, industrial or commercial complexes and to equip the same or any part thereof with all or any amenities or conveniences including water, drainage and electric installations and infrastructure or betterment facilities.

b. To conceive, plan, survey, design, study and evaluate all steps, process, techniques and methods for setting up of all types of infrastructure projects, facilities, works and to finance, build, construct, install, erect, undertake, lay down, commission, establish, own, operate, manage, control and administer, lease, transfer, all infrastructure projects, facilities, works including industrial and technology parks, roads, bridges, fly-overs, highways, roadways, rail roads, railway stations, plat forms, railway yards, railway racks including gauge conversions thereof, buildings, dams, canals, reservoirs, water supply systems, sewerage and underground drainage systems, airports, seaports, berths, docks and marine structures of all types, civil projects, warehouses, offices environmental based projects and equipment, pipeline projects and any other infrastructure projects and facilities.

c. To carry on the business of rendering all services such as planners, designers, consultants, constructors, builders, developers, architects, engineers, erectors, installers, commissioning agents, management consultants and other services required for execution of any infrastructure projects. To acquire, purchase, lease, exchange, hire or otherwise, land and property of any tenure or any interest in the same and to act as Real Estators, developers of any land of property and to enter into any arrangement, agreement, contract, sub-contract, lease, sub-lease with Central or any State Government, Department and undertaking, municipality, Local authority. Corporation, Cooperative Society, Company(s), firm, partnership, person or persons, individual or individuals in furtherance of any objects of the Company, to establish branches, deports, work spots, site offices for purposes of carrying out the objects of the Company, and to act as consulting engineers, contract engineers, civil engineers, architects, designers, decorators, founders, painters, engravers, masons and structural engineers.

d. To carry on business activities of manufacture, distribution, generation, transmission, supplying, marketing, supervision and control of all types of power whether nuclear, steam, mechanical, hydraulic, gas, wind farms, water, solar, waste of any kind, hydrocarbon fuel or any other form, kind or description and transit, distribute supply and sell such power either directly or through transmission lines and facilities of Central/State governments, other consumers of electricity including for captive consumption for any industrial projects promoted by this Company or Promoter companies. To locate, establish, construct, equip, operate, use, manage and maintain all power plants including Solar, Nuclear, atomic, tidal water, wind.

e. To design, plan, manufacture, assemble, supply erect, commission, test, maintain, trouble shooting, repair, service of electrical and/or electrical goods, electronic goods, items, instruments, parts, spares, D.G. Sets, electrical control, switchgear panels, integrated circuits,

capacitors, switches, cables. plugs, powers in industrial, commercial, residential, establishments etc., in part individual and/ or composite key basis and to provide consultancy, expert services, advices, designs, drawings in relation to supervision and control of power in India and abroad. To carry on the business of electrical and electronics engineers, scientists, electrician, engineers, contractors, manufacturers. suppliers of and dealers in electrical. electronics and other appliances, components, accessories, cables, wire lines, dry cells, accumulators and distribute, supply electricity for the purpose of light, heat, motive power and all other purpose to which electrical energy can be employed.

(Copy of the Certificate of Incorporation and Memorandum and Articles of Association of the Transferor Company is annexed at Annexure -1 – page Nos. 33 - 59 of the Petition).

The Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferor Company as on 31.03.2023 is as follows:

Share Capital	**Amount in Rs.**
Authorized Capital:	
1,50,00,000 Equity Shares of Rs.10/- (Rupees Ten only) each.	15,00,00,000
Total	**15,00,00,000**
Issued, Subscribed and Paid-Up Capital:	
1,20,60,440 Equity Shares of Rs.10/- (Rupees Ten only) each.	**12,06,04,400**
Total	**12,06,04,400**

Subsequent to 31.03.2023 and till the date of approval of the resolution for the scheme of Amalgamation by the Board of Directors of the Transferor Company, there has been no change in the capital structure of the Transferor Company.

(Copy of the audited financial statements as on 31-03-2023 and Provisional Financial Statement as on 31-10-2023 of the Transferor Company is at Annexure 2 & 2A - page Nos. 60-85 & 86-94 of the Petition).

(2) M/s. Arunoday Life Spaces Private Limited was incorporated as a Private Limited Company under the provisions of Companies Act,

2013 on 22nd February, 2016 vide Corporate Identification Number (CIN) U70102TG2016-PTC103426 in the State of Telangana and the PAN of the Company is AAOCA1760G (Hereinafter referred to as the "Transferee Company/ALSPL").

The Registered office of the Transferee Company is situated at is situated at 8-2-293/82J/28A, 2nd Floor, Journalist Colony, Road No.70, Jubilee Hills, Hyderabad – 500 033, Telangana, India.

The main objects of the Transferee Company are as follows:

a. To carry on the business of purchase, acquire, lease or in exchange or in any other lawful manner any land, buildings, structures or properties of any kind for the purpose of investment or resale and to develop the same into projects, town ships, markets or other buildings, residential, industrial or commercial complexes and to equip the same or any part thereof with all or any amenities or conveniences including water, drainage and electric installations and infrastructure or betterment facilities.

b. To conceive, plan, survey, design, study and evaluate all steps, process, techniques and methods for setting up of all types of infrastructure projects, facilities, works and to finance, build, construct, install, erect, undertake, lay down, commission, establish, own, operate, manage, control and administer, lease, transfer, all infrastructure projects, facilities, works including industrial and technology parks, roads, bridges, fly-overs, highways, roadways, rail roads, railway stations, plat forms, railway yards, railway racks including gauge conversions thereof, buildings, dams, canals, reservoirs, water supply systems, sewerage and underground drainage systems, airports, seaports, berths, docks and marine structures of all types, civil projects, warehouses, offices environmental based projects and equipment, pipeline projects and any other infrastructure projects and facilities.

c. To carry on the business of rendering all services such as planners, designers, consultants, constructors, builders, developers, architects, engineers, erectors, installers, commissioning agents, management consultants and other services required for execution of any infrastructure projects. To acquire, purchase, lease, exchange, hire or otherwise, land and property of any tenure or any interest in the same and to act as Real Estators, developers of any land of property and to enter into any arrangement, agreement, contract, sub-contract, lease, sub-lease with Central or any State Government, Department and undertaking, municipality, Local authority. Corporation, Cooperative Society, Company(s), firm, partnership, person or persons, individual or individuals in furtherance of any objects of the Company, to establish branches, deports, work spots, site offices for purposes of carrying out the objects of the Company, and to act as consulting engineers, contract engineers, civil engineers, architects, designers, decorators, founders, painters, engravers, masons and structural engineers.

d. To carry on business activities of manufacture, distribution, generation, companies, supplying, marketing, supervision and control of all types of power whether nuclear, steam, mechanical, hydraulic, gas, wind farms, water, solar, waste of any kind, hydrocarbon fuel or any other form, kind or description and transit, distribute supply and sell such power either directly or through transmission lines and facilities of Central/State governments, other consumers of electricity including for captive consumption for any industrial projects promoted by this Company or Promoter companies. To locate, establish, construct, equip, operate, use, manage and maintain all power plants including Solar, Nuclear, atomic, tidal water, wind.

e. To design, plan, manufacture, assemble, supply erect, commission, test, maintain, trouble shooting, repair, service of electrical and/or electrical goods, electronic goods, items, instruments, parts, spares, D.G. Sets, electrical control, switchgear panels, integrated circuits,

capacitors. switches, cables, plugs, powers in industrial, commercial, residential, establishments etc., in part individual and/ or composite key basis and to provide consultancy, expert services, advices, designs, drawings in relation to supervision and control of power in India and abroad. To carry on the business of electrical and electronics engineers, scientists, electrician, engineers, contractors, manufacturers, suppliers of and dealers in electrical. electronics and other appliances, components, accessories, cables, wire lines, dry cells, accumulators and distribute, supply electricity for the purpose of light, heat, motive power and all other purposes to which electrical energy can be employed.

(Copy of the Certificate of Incorporation and Memorandum and Articles of Association of the Transferee Company is at "Annexure-3" – page No.95-121 of the Petition).

The authorized, issued, subscribed and paid-up share capital of Transferee Company as on 31.03.2023 is as follows:

Share Capital	**Amount in Rs.**
Authorized Capital:	
5,00,000 Equity Shares of Rs.10/- (Rupees Ten only) each.	50,00,000
Total	**50,00,000**
Issued, Subscribed and Paid-Up Capital:	
Equity Shares:	
5,00,000 Equity Shares of Rs.10/- (Rupees Ten only) each.	**50,00,000**
Total	**50,00,000**

Subsequent to 31.03.2023 and till the date of approval of the resolution for the scheme of Amalgamation by the Board of Directors of the Transferee Company, there has been no change in the capital structure of the Transferee Company.

(Copy of the audited financial statements as on 31-03-2023 and Provisional Financial Statement as on 31-10-2023 of the Transferee Company is at Annexure 4 & 4A - page Nos.122-157, 158-168 of the Petition).

(3) JURISDICTION:

The Registered Offices of both the Petitioner Companies are situated in the state of Telangana. Hence, the subject matter of this Petition is within the jurisdiction of this Tribunal.

(4) LIMITATION:

The present Petition is being filed under Section 230 to 232 of the Companies Act, 2013 pursuant to the Board Resolution passed by the Board of Directors of the Petitioner Companies in their respective meetings held on 14.11.2023 and hence the Petition is within the Limitation.

(5) SCOPE OF THE SCHEME:

The Scheme of Amalgamation provides for:

i) Amalgamation of the Transferor Company with the Transferee Company.

ii) Various other matters consequent to or otherwise integrally connected with the above in the manner provided for in the Scheme.

iii) This Scheme of Amalgamation has been drawn up to comply with the conditions as specified under Section 2(1B) of the Income Tax Act, 1961, such that:

a. All the properties of the Transferor Company, immediately before the amalgamations, become the properties of the Transferee Company by virtue of amalgamation.

b. All the liabilities of the Transferor Company, immediately before the amalgamation, become the liabilities of the Transferee Company by virtue of amalgamation.

c. All the shareholders of the Transferor Company, immediately before the amalgamation, become the shareholders of the Transferee Company by virtue of amalgamation.

Few of the significant terms of the Scheme of Amalgamation is detailed and explained fully at page Nos.180 to 194 of the Petition.

(6) <u>INCREASE IN THE AUTHORISED CAPITAL OF TRANSFEREE COMPANY AND CLUBBING OF AUTHORISED SHARE CAPITAL OF TRANSFEROR COMPANY WITH THE AUTHORISED SHARE CAPITAL OF THE TRANSFEREE COMPANY:</u>

a. Upon this Scheme becoming effective, the authorised share capital of the Transferor Company which is Rs. 15,00,00,000/- (Rupees Fifteen Crores Only) comprising 1,50,00,000 (One Crore Fifty Lakhs only) equity shares of Rs. 10/- (Rupees Ten only) each, shall be clubbed with the Authorised Share Capital of the Transferee Company and therefore, the Authorised Share Capital of the Transferee Company shall automatically stand increased without any further act, instrument or deed on the part of the Transferee Company including payment of stamp duty and fees payable to Registrar of Companies, to Rs.15,50,00,000 (Rupees Fifteen Crore Fifty Lakhs only) divided into 1,55,00,000 (One Crore Fifty-Five Lakh only) equity shares of Rs.10/- each.

b. It is clarified that the approval of the members of the Transferee Company to the Scheme, whether at a meeting or otherwise, shall be deemed to be their consent/approval under section 13, 14, 61 and 64 and other applicable provisions of the Companies Act, 2013, for increase of the authorised capital of the Transferee Company and consequent alteration to the Memorandum of Association of the Transferee Company. It is hereby clarified that upon such approval, the Transferee Company will not be required to do any act, deed or thing or pass any further resolution for increase in the authorised capital of the Transferee.

c. For the purpose of sub-clause as mentioned above, the fee and stamp duty already paid by the Transferor companies on its Authorized share capital shall be set-off against any fees payable by the transferee

company on the enhanced authorized capital subsequent to clubbing of the same pursuant to the amalgamation and the Transferee Company shall pay the differential excess fees due on revised capital in terms of provisions of Section 233(11) of the Companies, Act 2013.

d. Upon the coming into effect of this Scheme, Clause V of the Memorandum of Association shall, without any further act, instrument or deed, be and stand altered, modified and amended pursuant to Sections 13, 61, 64 of the Companies Act, 2013 and other applicable provisions of the Act, as the case may be, in the manner set out below and be replaced by the following Clause:-

"V. (a) The Authorised Share Capital of the Company is Rs.15,50,00,000 (Rupees Fifteen Crore Fifty Lakhs only) comprising of 1,55,00,000 (One Crore Fifty-Five Lakh only) equity shares of Rs.10/- each.

(7) CONSIDERATION: means in consideration of the transfer and vesting of the Transferor Company in the Transferee Company in terms of the Scheme, the Transferee Company shall discharge consideration to the equity shareholders of the Transferor Company, whose names appear in the Register of Members of the Transferor Company as the holders of equity shares as on the date decided by the Board of Directors of the Transferor Company, in the following manner:

i) The Transferee Company shall, without further application, issue and allot so the Equity Shareholder(s) of the Transferor Company, 1 (One) Equity Share of the face value of Rs. 10/- (Rupees Ten only) each in the Transferee Company, credited as fully paid up, for every 222 (Two Hundred and Twenty-Two) Equity Shares of the face value of Rs. 10/- (Rupees Ten only) each fully paid-up held by them in the Transferor Company,

ii) Any Fractional entitlement arising out of issue and allotment of Equity Shares of Transferee Company to the shareholders of the

Transferor Company pursuant to clause No. 10.1 herein above shall be rounded off to the nearest whole number by the Board of the Transferee Company, including the rights in respect of dividend, if declared by the Transferee Company.

iii) The Transferee Company shall issue and allot the Equity Shares in physical form.

iv) Notwithstanding anything to the contrary in this Scheme, upon the Equity Shares in the Transferee Company being issued and allotted by it to the members of the Transferor Company, the share certificates in relation to the Equity Shares held by them in the Transferor Company shall stand cancelled.

v) Approval of this Scheme by the Shareholders of the Transferee Company shall be deemed to be the due compliance of Section 62 (1) (c) and other applicable provisions as are relevant and applicable for the issue and allotment of Equity Shares by the Transferee Company. The new shareholding pattern of the Transferee Company post-merger shall be as follows:

S. No.	Name of the Shareholder	Total No. of Shares held	% of Shareholders
Equity Shareholders:			
1	Tumbalam Gooty Veera Prasad	3,32,596	60%
2	Tumbalam Gooty Naga Aruna Kumari	2,21,730	40%
	Total:	**5,54,326**	**100%**

(8) <u>ACCOUNTING TREATMENT</u>:

a. Clause 11 of the Scheme: "Accounting Treatment" means upon the coming into effect of this Scheme, the amalgamation of the Transferor Company with the Transferee Company shall be accounted in accordance with the pooling of interest method of accounting as prescribed in the applicable Accounting Standards 14 notified under Section 133 of the Act, and other relevant provisions of the Act read

with the rules made thereunder and other Generally Accepted Accounting Principles in India, as may be amended from time to time such that :

i) The Transferee Company shall, record all the assets and liabilities, including Reserves of the Transferor Company vested in it pursuant to this Scheme, at their respective book values as appearing in the books of the Transferor Company on the Appointed Date. The identity of the reserves of Transferor Company to the extent possible shall be preserved and they shall appear in the financial statements of the Transferee Company in the same manner in which they appear in the financial statements of the Transferor Company, prior to this Scheme being made effective.

ii) If at time of amalgamation, the Transferor Company and Transferee Company have conflicting accounting policies, a uniform accounting policy shall be adopted by the Transferee Company following the amalgamation. The effect on the financial statements of any change in accounting polices shall be reported in accordance with applicable Accounting Standard 5, 'Prior Period and Extraordinary Items and changes in accounting policies.

iii) The Inter-corporate deposits/borrowings, loans and advances, etc., if any, outstanding between the Transferee Company and the Transferor Company inter-se shall stand cancelled and there shall be no further obligation/outstanding in that behalf. Any difference arising on such cancellation should be adjusted in the reserves of the Transferee Company.

iv) The excess or deficit, if any, remaining after recording the aforesaid entries shall be treated in accordance with the Accounting Standards specified under section 133 of the Companies Act, 2013.

(9) <u>DISSOLUTION OF THE TRANSFEROR COMPANY UPON MERGER</u>:

Upon the Scheme coming into effect, the Transferor Company, i.e., M/s. Eldorado Avenues Private Limited shall, without any further act or deed, stands merged/dissolved without going through the process of winding up.

(Signed copy of the Scheme of Amalgamation between M/s. Eldorado Avenues Private Limited (Transferor Company) and M/s. Arunoday Life Spaces Private Limited (Transferee Company) and their respective Shareholders and Creditors is at Annexure-5 – page Nos.169-205 and copy of the Valuation Report is at Annexure-6 – page Nos.206-217 of the Petition).

(10) COMPLIANCE OF ACCOUNTING STANDARDS:

The accounting treatment proposed at Clause 11 in the Scheme of Amalgamation between Eldorado Avenues Private Limited (Transferor Company) and Arunoday Life Spaces Private Limited (Transferee Company) and their respective Shareholders and Creditors, is in conformity with the accounting standards as prescribed under the provisions of Section 133 of the Companies Act, 2013.

(Certificate issued by the Chartered Accountant confirming the Accounting Treatment proposed in the Scheme, is at Annexure-7 & 7A – page Nos.218-220 & 221 - 222 of the Petition).

(11) BOARD RESOLUTION OF THE PETITIONER COMPANIES APPROVING THE SCHEME OF AMALGAMATION, INTEREST OF DIRECTORS IN THE PROPOSED SCHEME OF AMALGAMATION:

a. The Board of Directors of the Petitioner Companies at their respective meetings held on 14th November, 2023 approved the Scheme of Amalgamation between M/s. Eldorado Avenues Private Limited (Transferor Company) and M/s. Arunoday Life Spaces Private Limited (Transferee Company) and their respective Shareholders and Creditors.

   (Certified true copy of the Board Resolutions passed by the Board of Directors of the Applicant Companies is at Annexure - 8 to 9 – page Nos.223-228 of the Petition).

b. It is averred that the Board of Directors of the Petitioner Companies have no material interest in the proposed Scheme of Amalgamation

between M/s. Eldorado Avenues Private Limited (Transferor Company) and Arunoday Life Spaces Private Limited (Transferee Company) and their respective Shareholders and Creditors, except as shareholders.

(12) The Petitioner Companies have filed CA (CAA) No.02/230/HDB/2024 seeking to dispense with the requirement of convening the meeting of the equity shareholders of Transferor & Transferee Company, Meetings of Unsecured Creditors and Trade Creditors of the Transferor & Transferee Company, which was allowed by this Tribunal vide order dated 09.02.2024. The present Company Petition is filed in pursuance of the Order dated 09.02.2024 passed in CA (CAA) No.02/230/HDB/2024. The Petitioner Companies have complied with all the requirements as per directions of this Tribunal and have filed necessary affidavits of compliance with the Tribunal.

(13) As per the directions of this Tribunal vide order dated 09.02.2024, the Petitioner Companies issued notices to the following Statutory Authorities:

a. Notices were served on the Central Government through the Regional Director (SER), Registrar of Companies (RoC), Official Liquidator, Hyderabad, Income Tax Authorities for intimating the Scheme of Amalgamation.

b. Notice of this petition be published in the "Business Standard" (English Daily), Hyderabad Edition and "Nava Telangana" (Telugu Daily), Hyderabad Edition both to be published as contemplated under Rule 16 of the Companies (Compromises, Arrangements and amalgamations) Rules, 2016.

(Copy of the order dated 09.02.2024 passed by this Tribunal is at Annexure-10 – page Nos.229-244 of the Petition).

(14) <u>DECLARATION BY THE PETITIONER COMPANIES:</u>

<u>It has been averred that:</u>

a. No petition under Section 241 or 242 read with section 66 of the Companies Act, 2013, has been filed against any of the Petitioner Companies and there has been no material change in the affairs of any of the Petitioner Companies, except for what was done in the normal course of business.

b. There are no proceedings pending under Section 210 to 227 of Companies Act, 2013, against any of the Petitioner Companies.

c. The Scheme of Amalgamation between M/s. Eldorado Avenues Private Limited (Transferor Company) and M/s. Arunoday Life Spaces Private Limited (Transferee Company) and their respective Shareholders and Creditors does not have an adverse effect on any of the shareholders or creditors or other stakeholders of the Petitioner Companies in any manner whatsoever.

(15) It is averred that the Appointed Date for the amalgamation as contemplated above is 01st August, 2023.

(16) The copy of the certificate issued by the statutory auditors of the Transferee Company stating that the accounting treatment as provided for in the Scheme, is in accordance with the accounting principles laid down under the Act is annexed to the application as **Annexure 7A – page Nos.221-222 of the Petition).**

(17) It is averred that the sanctioning of the Scheme of Amalgamation would be beneficial to the Transferor Company, and as well as the Transferee Company and as well as to their shareholders, creditors, employees and other stakeholders.

(18) The Regional Director (South East Region), Ministry of Corporate Affairs, Hyderabad has filed its Report on 22.08.2023, inter alia, stating that the Hon'ble Tribunal may be pleased to consider the observations as pointed out therein and pass such orders after hearing the Income Tax Department.

(19) In response to the observations made by the Regional Director, the Petitioner Companies have given necessary undertakings and clarifications through their reply affidavits filed on 11.09.2024 and 14.10.2024. The observations made by the Regional Director and the clarifications and undertakings given by the Petitioner Companies are summarized in the table below:

Para Nos.	**Regional Director's Report/observations dated18th July, 2024**	**Reply Affidavit filed by the Petitioner Companies vide Memo dated 11th September, 2024**
Page 2 Para 3(a)	As per MCA 21 master data, there are no secured creditors or charge pending against the Transferor Company. However, there is one open charge vide Charge ID 10069527 created on 17.12.2022 for Rs.44,40,956/- is pending in favour of Axis Bank Limited	It is submitted that the secured creditor of the Transferee Company has given its consent to the scheme and the same has been filed by the Transferee Company with CA No.02/230/HDB/2024 with this Authority. The same is enclosed as Annexure-1 of the Memo.
Page 2 Para 3(b)	Clause No.8 of the Scheme provides for increase in Authorized Share Capital of Transferor Company with the Authorized Share Capital of the Transferee Company and hence Transferee Company has to pay the differential stamp duty on its increased share capital. Upon taking up the matter with the petitioner company in this regard, the petitioner companies have furnished an undertaking in this regard.	It is submitted that the Transferee Company has already given its undertaking to the Regional Director and hence need not be traversed.
Page 2 Para 3(c)	Hon'ble Tribunal may be pleased to direct the Petitioner Company(s) to preserve its books of accounts and papers and records and shall not be disposed off without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013	It is submitted that upon sanction of the Scheme by this Hon'ble Tribunal, the Transferee Company and the Transferor Company shall preserve its books of accounts and papers and records and shall not dispose off without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013

Page 2 Para 3(d)	Hon'ble Tribunal may be pleased to direct the Petitioner Company(s) to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme, the applicant company shall not be absolved for any of its statutory liability in any manner.	It is submitted that upon sanction of the Scheme by this Authority, the Transferee Company and the Transferor Company shall ensure statutory compliance of all the applicable laws and undertake to dispose of any statutory liability that may arise.
Page 2 Para 3(e)	Hon'ble Tribunal may be pleased to direct the Petitioner Company(s) involved in the scheme to comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of Registrar of Companies by the Petitioner Company.	It is submitted that upon sanction of the Scheme by this Authority, the Transferee Company and Transferor Company shall comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing or order for confirmation of Scheme in Form No.INC-28 with the concerned office of Register of Companies.
Page No.3 para 5	With reference to this Directorate's letter dated 22.03.2024 issued to the Addl. Commissioner of Income Tax, Hyderabad, till date no reply/comments in the matter has been submitted to this Directorate. Hon'ble Tribunal may be pleased to direct the Petitioner Companies to furnish an undertaking that, if any demand arises from the Income Tax Department with respect to Transferor Companies and Transferee Company, Transferee Company is ready to pay the said statutory dues.	It is submitted that the Transferee Company shall comply with all the applicable provisions of the Income Tax Act and all tax issues/demands related thereto, if any, whether arising out of the Scheme or otherwise and that all the outstanding demands in respect of the Transferee or Transferor Company will be met and answered in accordance with law.
Page No.3 Para 6(a)	As per the Scheme the Appointed Date is shown as 01-08-2023 and upon taking up the matter with the petitioner company with regard to the significance of choosing an odd date as Appointed Date, the Petitioner Companies vide reply dated 26-06-2023 has informed that both the Companies are 100% held among the family members and in order to have mirror shareholding in both the companies prior to merger, Mr. Rohit Naag, Son and Mr. Tumbalam Gooty	It is submitted that the same is a submission of the Petitioner Companies and is on record.

	Veera Prasad, Spouse transferred their shares to Mrs. Tumbalam Gooty Aruna Kumari, which was approved by the Board of Directors on 28th July, 2023 and accordingly, the Board of Directors have selected 01.08.2023 as the appointed date.	
Page No.4 Para 6(b)	As regards Clubbing/increase of Authorized Capital of the Transferee Company and compliance of the provisions of section 232(3)(i) of the Companies Act, 2013 and payment of differential fee after setting of the fee already paid by the Transferor Company, the Petitioner Companies have furnished an undertaking in this regard.	It is submitted that the Petitioner Company has already given its undertaking to the Regional Director and hence need not be traversed.
Page No.4 Para 6(c)	As per the Notes to Balance Sheet as at 31-03-2023, the Transferor Company has granted loans to Related Parties to the tune of Rs.1345 lakhs and the petitioner companies was asked to show the compliance of section 185/ 186 of the Companies Act, 2013 and the petitioner companies have furnished reply stating that the Board of Directors have approved the purchase of land admeasuring 6 acres at Ramanagaram, Karnataka State for a sum of Rs.15,00,00,000/- and the Transferor Company has paid an amount of Rs.13,45,05,376/- towards advance. However, the reply is silent about compliance of section 185/186 of the Companies Act, 2013.	It is submitted that both the Transferor and Transferee Company are engaged in the business of Real estate and Construction. The Transferee Company has identified a large parcel of land approximately 16 Acres at Ramanagaram Karnataka State, which it intends to sell a plotted venture. As per the understanding, the transferee Company shall out of the total 16 Acres, sell land admeasuring 6 Acres to Transferor Company for an approximate value of Rs.15,00,00,000/- Further it shall be the responsibility of the Transferee Company to carry out due diligence, land levelling and development works, obtain layout approval from Ramangaram Urban Development Authority (RUDA) and Rera Registration and thereafter both the Transferor and Transferee Company shall conclude Transaction. It is with regard to this project that the Transferor Company has paid an

		amount of Rs.13,45,05,376/- as advance for purchase of land to the Transferee Company. As on date the Transferee Company has spent Rs.35,58,73,082/- towards purchase of land and Rs.5,70,57,450/- towards development of the Land. The Transferee company has applied to RUDA for approval of the plan layout, after which it shall also apply for Karnataka RERA Registration. In view of the above we submit that the above transaction does not fall under the provisions of Section 185 & 186 of the Companies Act, 2013. Further we would like to also submit that as per the Ministry of Corporate Affairs Circular G.S.R. 464 (E) dated 05th June, 2015, Section 185 of the Companies Act, 2013 shall not apply to Private Companies, subject to the certain conditions: The following is the status of compliance of conditions for exemption as on the transaction date (i.e.,) 25th December, 2020 in Transferor Company; **a. In whose share capital no other body corporate has invested money.** The following are the shareholders of the Company: **N a m e** — **Equity Shares(%)** TGN Aruna Kumari — 82,40,340 (68.32%) TG Veera Prasad — 19,56,050 (16.22%) Rohit Naag — 18,64,050 (15.46%) **1.The borrowings of such Company from banks of financial institutions or any body Corporate is less than twice of its**

		paid up capital or fifty crore rupees whichever is lower. As on 25.12.2023, the Transferor no outstanding loan amount. **c. Such a Company has no default in repayment of such borrowings subsisting at the time of making the transaction under the section.** The Transferor Company hereby confirms that there were no defaults in repayment of the borrowing outstanding at the time of the transaction.
Page No.4 Para 6(d)	Both the companies are having common shareholders and in this regard, the petitioner companies have furnished a reply stating that both the Companies are held 100% among husband-and-wife Mr.Tumbalam Gooty Veera Prasad (60%) and Mr. Tumbalam Gooty Aruna Kumari (40%) and Mr. Tumbalam Gooty Veera Prasad is a director in both the companies.	It is submitted that the matter is on record.
Page Nos.4 & 5 Para 6(e)	As seen from Notes on the latest Balance Sheet of the Transferor Company as at 31-03-2023, the Transferor Company has invested (by way of purchase of shares) in M/s.Rege Engredea Private Limited, which is not active against which Transferor Company has filed a case in NCLT vide Case No.595/2019 and it is stated that the order is not in favour of the company and hence the management has taken decision to write off the share subscription amount in Financial Year 2022-23 and upon seeking clarification from the company, it is stated in the reply of the company that the Transferor Company along with its	It is submitted that the matter is on record.

	Promoters have entered into Share Subscription cum Share Purchase and Shareholders Agreement on 19.06.17, pursuant to which, the Transferor Company has proposed to acquire 12,08,520 equity shares from the Promoter Directors of M/s.Rege Engredea Private Limited (Rege) and also proposed to subscribe 12,83,700 equity shares of Ms/. Rege Engredea Private Limited. Further, post entering into the Agreement, the Company remitted subscription amount in tranches and also advances as Unsecured Loan as stop gap arrangements for working capital. However, the Company got suspicious about the operations/transactions being carried out by the "Rege", especially in relation to utilisation of the loan amount received from APSFC. Since the Promoters of Rege were acting arbitrarily keeping the Company in dark relating to affairs of the "Rege" and having found out that the they have indulged in misappropriation of funds of Rege, the Company filed the case in NCLT with case No. 595 of 2019 against Mis. Rege Engredea Private Limited. However since, the NCLT order was not in the favour of the Transferor Company, the management has taken the decision to write off the amounts in the FY 2022-23 and the transferor company has filed an appeal against the order of NCL and the same is posted for hearing on 19-07-2024.	
Page 5 Para6 (f)	The petitioner company has furnished the details of related party transactions during the last two years and replied that the same are in ordinary course of business and no common directors are there and the advances given are in the nature of investments and hence, the provisions of section 188 of the	It is submitted that the matter is on record.

	Companies Act, 2013 are not applicable.	
Page No.5 Para 6(g)	With regard the payment of statutory dues payable by the Transferor Company, the Transferee Company has furnished an undertaking stating that the dues payable if any, will be paid by the Transferee Company upon post merger.	It is submitted that the petitioner Company has already given its undertaking to the Regional Director and hence need not be traversed.
Page Nos.5 & 6 Para 6(h)	As seen from the latest Balance Sheet as at 31-03-2023 of the Transferor Company, the main object is giving loans and also substantial income is from financial activities i.e. interest income in the Financial Year 2022-23. Upon taking up the query with the company, whether the activity attracts NBFC activity, it is replied by the petitioner companies that the main object of the company is to deal in real estate and construction but over the years since the company is unable to materialize any new transactions and also pending commercial transaction, funds available with bank, fixed deposits and short term money market instruments, the Company has earned interest income which will not fall under the NBFC activity. The Petitioner Transferor Company has earned NIL revenue in Financial Period ended on 31.10.2023 also. In view of the above, view of Reserve Bank of India may be obtained by the Hon'ble Tribunal before considering approval of the Scheme.	It is submitted that the main objects of the Transferor Company is Real Estate and Construction. However, due to various factors beyond the control of the Transferor Company, it could not take up any new projects or contracts. It is further submitted that the Company has neither granted any loans to third parties nor taken any loans from third parties and does not intend to carry on any NBFC activity. Further in view of the observation made by the Regional Director, the Company has filed a letter with Reserve Bank of India, Regional office, Saifabad, Hyderabad on 23 July, 2024 to submit its objections if any to the proposed Scheme of Amalgamation before the Hon'ble National Company Law Tribunal, Hyderabad Bench with a copy to the Company Advocate on or before the date of hearing (i.e.,) 9th August, 2024. A copy of the Letter filed with RBI is enclosed herewith as Annexure – 2 of the memo.
Para Nos.	**Regional Director's II Report/observations dated 30th September, 2024**	**Reply Affidavit filed by the Petitioner Companies vide Memo dated 14th October, 2024**
Page 2, Para 3	With regard to the observations of the Regional Director/RoC at Para No. 3(b), 3(c), 3(d), 3(e), 6(b) & 6(g) of the	It is submitted that the same are facts on record and hence need not be traversed.

	affidavit of the Deponent, the Transferee Company has furnished undertaking.	
Page 2, Para 4	With regard to the observations of the Regional Director/RoC at Para 3(a) of the affidavit of the Deponent, the Petitioner Company has furnished NOC given by Axis Bank Limited.	It is submitted that the same are facts on record and hence need not be traversed.
Page 2, Para 5	With regard to the observations of the Regional Director/RoC at Para 5 of the affidavit of the Deponent, the petitioner company has agreed to comply with the observation of the Deponent.	It is submitted that the same are facts on record and hence need not be traversed.
Page 2, Para 6	With regard to the observations of the Regional Director/RoC at Para 6(c) & 6(f) of the affidavit of the Deponent, the Petitioner Company has stated that both the Transferor and Transferee company are engaged in the business of Real estate and Construction. The Transferee Company has identified a large parcel of land approximately 16 Acres at Ramangaram-Karnataka State, which it intends to sell a plotted venture. As per the understanding, the transferee Company shall out of the total 16 Acres, sell land admeasuring 6 Acres to Transferor Company for an approximate value of Rs 15,00,00,000/-. Further it shall be the responsibility of the Transferee Company to carry out due diligence, land levelling and development works, obtain layout approval from Ramangaram Urban Development Authority (RUDA) and Rera Registration and thereafter both the Transferor and Transferee Company shall conclude Transaction. It is with regard to this project it is stated in the reply that the Transferor Company has paid an amount of Rs. 13,45,05,376/-as advance for purchase of land to the Transferee Company and as on date of	In reply to Para-No. 6 (c) of the 2nd report filed by the Regional Director (SER), it is most humbly submitted, Section 186 of the Companies Act provides for certain limits and approvals to be taken by a Company before giving any Loans, Guarantees or providing Security for any loan taken by any other person or making any investments. However, the amount of Rs 13,45,05,376/- given by the Transferor Company to Transferee Company is towards advance for purchase of land admeasuring 6 Acres out of the total identified land of 16 Acres at Ramanagaram - Karnataka State and hence does not fall under the purview of Section 186. A Copy of the Land Procurement Agreement entered between the petitioner companies in this regard is enclosed herewith and Marked as Annexure-1 of the Memo

reply the, Transferee Company has spent Rs. 35,58,73,082 towards purchase of land and Rs. 5,70,57,450 towards development of the land. The Transferee Company has applied to RUDA for approval of the plan layout, after which it shall also apply for Karnataka RERA Registration. In view of the above we submit that the above transaction does not fall under the provisions of Section 185 & 186 of the Companies Act, 2013. Further we would like to also submit that as per the Ministry of Corporate Affairs Circular G.S.R. 464(E) dated 05th June, 2015, Section 185 of the Companies Act. 2013 shall not apply to Private Companies, subject to the certain conditions:

a) The following is the status of compliance of conditions for exemption as on the transaction date (i.e., 25th December, 2020 in Transferor Company:

b) In whose share capital no other body corporate has invested money. The following are the shareholders of the Company :

Name	**Equity Shares(%)**
Tumbalam Gooty Nage ArunaKumari	82,40,340(68.32%)
Tumbalam Gooty Veera Prasad	19,56,050(16.22%)
Rohit Naag	18,64,050(15.46%)

The borrowings of such Company from banks or financial institutions or any body corporate is less than twice of its paid-up capital or fifty crore rupees whichever is lower. As on 25.12.2023, the Transferor has no outstanding loan amount.

c) Such a company has no default in repayment of such borrowings subsisting at the time of making the transaction under the section. And the Transferor Company has confirmed that there were no defaults in

	repayment of the borrowings outstanding at the time of transaction. The Petitioner Transferor and Transferee Company have not clarified with documentary evidence as how the provisions of Section 186 is not applicable to them. The Hon'ble Tribunal may look into the matter.	
Page 4, Para 7	With regard to the observations of the Regional Director/RoC at Para 6(e) of the affidavit of the Deponent, the Petitioner Company may be directed to furnish the status of the case before the Hon'ble NCLT.	In reply to Para No.7 of the 2nd report filed by the Regional Director (SER), it is respectfully submitted that Company Appeal (AT)(CHE) No.56 of 2022 filed by the Petitioner/Transferor Company is currently pending before the Hon'ble National Law Appellate Tribunal, Chennai Bench and the next date of hearing of the said Appeal is 25.11.2024. A copy of the daily order dated 25.09.2024 of the Hon'ble National Company Law Appellate Tribunal, Chennai bench is enclosed herewith and marked as Annexure – 2
Page 4, Para 8	With regard to the observations of the Regional Director/RoC at Para 6(h) of the affidavit of the Deponent, Petitioner Companies have stated that the main objects of the Transferor Company is into Real Estate and Construction business. However due to various factors beyond the control of the Transferor Company, it could not take up any new project or contract. It is further submitted that the Company has neither granted any loans to third parties nor taken any loans from third parties and does not intend to carry on any NBFC activity. Further in view of the observation made by the Regional Director, the Company has filed a letter with Reserve Bank of India, Regional office, Saifabad, Hyderabad on 23rd July, 2024 to submit its objections of any to the proposed Scheme of	It is submitted that in reply to Para No.8 of the 2nd report filed by the Regional Director (SER), it is respectfully submitted that, in consideration of the observations made in the Regional Director's 1st report dated 16.07.2024, the Petitioner Company submitted a letter to the Reserve Bank of India, Regional Office, Saifabad, Hyderabad on 23.07.24, inviting any observation to the proposed Scheme of Amalgamation to be submitted before this Hon'ble National Company Law Tribunal, Hyderabad Bench. It is most submitted that in response to the Letter dated 23.07.2024 filed by the Petitioner Company, the Reserve Bank of India, Regional Office, Saifabad, Hyderabad vide its

	Amalgamation before the Hon'ble National Company Law Tribunal. Hyderabad Bench with a copy to the Company Advocate on or before the date of hearing (i.e.,) 9h August, 2024. In this regard, it is prayed that the view of the Reserve Bank of India may be obtained before considering approval of the Scheme.	letter dated 11.09.2024 has clarified that M/s.Eldorado Avenues Private Limited (Transferor Company) does not fulfil the eligibility criteria for being registered as NBFC as defined in clause (a) of Section 45-IA of RBI Act, 1934. Hence it does not fall under the regulatory ambit of the Reserve Bank of India". A Copy of the No objection Letter dated 11.09.2024 filed by the office of the Reserve Bank of India, Regional office, Saifabad, Hyderabad before this Authority is enclosed herewith and marked as Annexure – 3.
Page 4, Para 9	As regards observation of the Deponent at Para 4 of the Affidavit filed on 16.07.2024, it is to submit that the reply is silent about this matter. The Hon'ble Tribunal may direct the Petitioner Companies to furnish their detailed reply to the observation of the Official Liquidator, Hyderabad in this matter.	It is submitted in reply to Para No.9 of the report filed by the RD(SER), it is submitted that at the hearing held on 09.10.2024 before the Hon'ble Tribunal, the O/o.OL had conveyed his objection to the proposed Scheme of Amalgamation. A copy of the daily order dated 09.10.2024 passed by this Tribunal in CP(CAA) No.11/230/HDB/2024 is enclosed herewith and marked as Annexure-4

(20) Hence, from the above report of the RD, it can be understood that there are no tenable objections raised and that the queries posed to the companies were also answered. Hence, the direction as sought for by the Regional Director (RD) would stand complied.

(21) The Official Liquidator (OL) made certain observations in his reports filed on 22nd May, 2024. In response, the Petitioner Companies filed their reply vide their undertaking dated 05th July, 2024 which are tabulated as under:

Para No.	**Observations of the Official Liquidator (Vide report dated 22.05.2024)**	**Reply affidavit/undertaking from the Transferee Company dated 05.07.2024**

Page No.6 Para 22(a)	That, the clause 7.1 of part-B of the scheme seeks to protect all staff, workmen and employees of the Transferor Companies in service as on the date of approval of the Scheme by this Hon'ble tribunal shall be deemed to have become staff, workmen and employees of the Transferee Company. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee companies to submit an undertaking to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed date (i.e., 01.08.2023) as well.	It is submitted that upon sanction of the Scheme by this Hon'ble Tribunal, the Transferee Company shall not retrench employees (if any) who were in service of the Transferor Company as on Appointed Date i.e., 1st August, 2023.
Page No.7 Para 22(b)	That, as per Clause 12 of Part-B of the Scheme, the Transferor Company shall stand dissolved without going through the process of winding up.	It is submitted that the same are facts on record and hence need not be traversed.
Page No.7 Para 22(c)	That, as per the information furnished by the Transferor and Transferee Companies, the entire paid up capital of both the Companies are held by two common shareholders viz., Sri Tumbalam Gooty Veera Prasad and Sri Trumbalam Gooty Nage Aruna Kumari.	It is submitted that the same are facts on record and hence need not be traversed.
Page No.7 Para 22(d)	That, as per Note-2 of financial statements of Transferor Company as at 31.03.2023, an amount of Rs.14.86 crores has been shown as "Opening Balance" – "Capital Reserve" under the head of "Reserve & Surplus". In this regard, the Transferor Company vide letter dated 10.05.2024 (received on 15.05.2024) has clarified that the "Capital Reserve" represents the amount towards Arbitration award/compensation received by the Company from its JV Partner M/s.Demerara Distellers Limited,	It is submitted that the same are facts on record and hence need not be traversed.

	Guyana for breach of joint venture agreement in the year 2016-17.	
Page No.7 Para 22(e)	That, as per Note-11 of financial statements of Transferor Company as at 31.03.2023, an amount of Rs.13.45 crores has been shown as "Loans & Advances to Related Parties" (Arunoday Life Spaces Pvt Ltd., Transferee Company) under the head of "Loans & Advances". In this regard, the Transferor Company vide letter dated 10.05.2024 (received on 15.05.2024) has clarified that the Board of Directors of the Company have approved the purchase of land admeasuring Ac.6.00 at Ramanagaram-Karnataka State through M/s.Arunoday Life Spaces Pvt Ltd., Transferee Company for an aggregate value of Rs.15 Crores after passing necessary resolutions and hence the company has paid an amount of Rs.13.45 Crores towards advance.	It is submitted that the same are facts on record and hence need not be traversed.
Page No.7 & 8 Para 22(f)	That, as per Point 2.3 of "Note-17 – Notes forming part of Standalone Accounts (FH:2022-23)" of Transferor Company, it is mentioned that the management of the company has taken decision to write off the Share subscription amount paid to M/s.Rege Engredea Pvt.Ltd in the year FY 2022-23. In this regard, the Transferor Company vide letter dated 10.05.2024 (received on 15.05.2024) has clarified that the Transferor Company along with its promoters have entered into Share subscription cum Share purchase and shareholders Agreement on 19.06.2017 and pursuant to which the Transferor Company has proposed to acquire 12,08,520 equity share from the Promoter Directors of M/s.Rege Engredea Pvt.Ltd and also proposed	It is submitted that the same are facts on record and hence need not be traversed.

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<td>to subscribe 12,83,700 equity shares of M/s.Rege Engredea Pvt Ltd. The Transferor Company has further stated that post entering into the agreement, the company remitted subscription amounts in tranches and also advanced Unsecured Loan as stop gap arrangements for working capital. However, the company got suspicious about the operations/transactions being carried out by M/s.Rege Engredea Pvt.Ltd,m especially in relation to utilization of the loan amount received from APSFC and hence the company has filed case in NCLT with Case No.595 of 2019 against M/s.Rege Engredea Pvt. Ltd., however the NCLT order was not in favour of the Transferor Company. Hence, the management of the company has taken the decision to write off the following in the FY 2022-23:
<table>
<tr><th>S.No.</th><th>Nature of Amount</th><th>Rs.in Lacs</th></tr>
<tr><td>1</td><td>Investment in Rege Engredea Pvt Ltd</td><td>1,20,85,200</td></tr>
<tr><td>2</td><td>Advances to Rege Engredea Pvt Ltd</td><td>29,39,800</td></tr>
<tr><td>3</td><td>Advances towards purchse of equity in Rege Engredea Pvt Ltd</td><td>1,14,50,000</td></tr>
<tr><td></td><td>T o t a l</td><td>2,64,75,000</td></tr>
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<td>Page No.8 Para 22(g)</td>
<td>That, the Transferor Company is a loss making company getting merged with profit making Transferee Company as per the Financial Statements of the Companies as at 31.03.2023. Hence, the Income Tax implications due to merger needs to be complied by the Transferee Company.</td>
<td>It is submitted that upon sanction of the Scheme by this Hon’ble Tribunal, the Transferee Company undertakes to comply with all applicable provisions of the Income Tax Act, as well all tax demands associated with it, as well as to pay all legal demands raised by the Income Department, subject to the outcome of the legal proceedings or orders of the Income Tax Appellate Tribunal or any higher quasi-judicial/judicial authority.</td>
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(22) Finally, the Official Liquidator (OL) accepted the submissions made by the Petitioners and did not raise any objections for accepting the Scheme of Amalgamation of the Petitioner Companies.

(23) We have heard the Learned Counsel for Petitioner Companies and perused the material papers on record. Considering the entire facts and circumstances of the case and on perusal of the Scheme, Reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

O R D E R

(24) After hearing the Learned Counsel for the Petitioner Companies and after considering the material on record, this Tribunal passed the following order:

(i). The Scheme of Amalgamation, which is filed at page nos.169 to 205 of the Application filed by the Petitioner Companies is hereby sanctioned and confirmed with appointed date as 01.08.2023 and shall be binding on all the members, employees, creditors, concerned statutory, regulatory authorities and all other stakeholders of the Petitioner Companies.

(ii). While approving the Scheme, we make it clear that this order should not be construed as on order in anyway granting exemption from payment of stamp duty, taxes or any other charges, if any, payable, in accordance with law or in respect of any permission/ compliance with any other requirement which may be specifically required under any law.

(iii). The whole of the assets, property, rights and Liabilities of the Transferor Companies shall be transferred without the requirement of any further act or deed to the Petitioner/Transferee Company.

(iv). We direct the Petitioner companies to comply with all the observations pointed out by the Regional Director and Official Liquidator, if any.

(v). We direct the Petitioner Companies to preserve the books of accounts and papers and records and the same shall not be disposed of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

(vi). We direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme the Petitioner Companies shall not be absolved for any of its statutory liability in any manner.

(vii). We direct the Petitioner Companies involved in the Scheme to comply with Rule 17 (2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013. The Petitioner Companies within 30 days after the date of receipt of certified copy of the order, shall cause certified copy to be delivered in the Form INC-28 to the Registrar of Companies concerned for registration and on such certified copy being delivered, Registrar of Companies concerned shall take all necessary consequential action in respect of the Petitioner Companies.

(viii). All the legal proceedings pending by or against the Transferor Companies shall be continued by or against the Transferee Company.

(ix). Though no representation has been received from the Income Tax Authorities despite service of notice by the Petitioner Companies, the tax implications, if any, arising out of the Scheme is subject to final decision of the Tax Authorities concerned and the decision of the Tax Authorities concerned shall be binding on the Transferee Company.

(x). The Transferee Company is directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

(xi). The sanction of the Scheme by this Tribunal shall not forbid the Revenue Authority from taking appropriate recourse for recovering the existing and previous tax liabilities of the Transferor and Transferee Companies.

(xii). We direct the Transferee Company to comply with the provisions of Section 2(41) of the Companies Act, 2013.

(xiii). The Transferor Company shall be dissolved without going through the process of winding up.

(xiv). All concerned shall act on a copy of this order along with Scheme duly authenticated by the Deputy/Assistant Registrar of this Tribunal.

(xv). Any person shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(xvi). Accordingly, the Scheme is allowed and the Company Petition bearing **CP(CAA)No.11/230/HDB/2024 connected with CA(CAA) No.02/ 230/HDB/ 2024** stands disposed of.

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Vinod